

# From Streaks to Strategy



## Strengthening Snapchat Retention Through Messaging-First Positioning

*A Behavioral Study of What Drives User Retention on Snapchat*

USC Marshall School of Business

MKT 512 Customer Insights & Analysis

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# What We Set Out to Understand:

Snapchat's long-term revenue depends on consistent, habitual use, especially among Gen Z and Millennial users. But as users age, they increasingly report friction, confusion, and a sense that Snapchat is "for teens," putting core retention at risk.

## Research Question

How do Snapchat users, specifically Gen Z and Millennials, engage with the platform, what drives their retention or abandonment, and how can these behaviors inform more effective monetization strategies?

## Hypothesis

Positioning Snapchat primarily as a messaging-first platform will increase behavioral intent to use the app and increase willingness to engage with sponsored content, compared to an entertainment-first framing.

## Methodology

We used a mixed-methods approach that combined three 45-minute focus groups plus ethnographic observation to surface user perceptions, and then tested these insights through a 2×2 experimental survey measuring the effects of messaging-first versus entertainment-first framing on usage intent, ad willingness, retention likelihood, and perceived value.





# Why Snapchat's Retention Is At Risk: The Gen Z Reality Check

**Snapchat's ad marketplace only works if users return daily, stay longer, and engage predictably – and that behavior is at risk as Gen Z ages.**

## Behavioral Fatigue

**Insight:** Gen Z uses Snapchat often, but streaks turn usage into an obligation, not a value-driven choice.

**Implication:** Habit without value is fragile; once a streak breaks, overall usage collapses.

## Identity Crisis

**Insight:** Older users increasingly see Snapchat as a "teen app," creating stigma and making it feel off-brand for them.

**Implication:** This perception suppresses re-engagement among aging, high-value cohorts.

## UI Complexity

**Insight:** Older Gen Z and younger Millennials describe the interface as confusing, cluttered, and hard to navigate.

**Implication:** As users age, friction rises and churn risk concentrates in these segments.

## Emotional Pull, Not Functional Pull

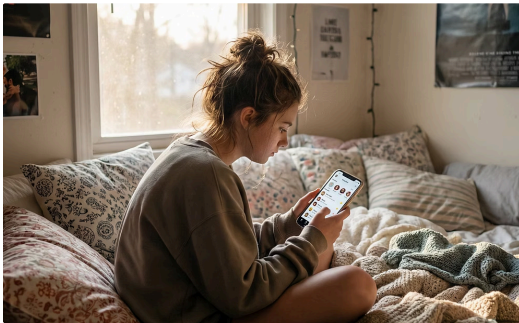
**Insight:** Memories drive strong nostalgia and emotional attachment, but features like Discover and Spotlight rarely power daily use.

**Implication:** Snapchat has deep emotional equity but shallow functional reasons to stay active over time.



# Three Faces of Snapchat: The Teen, The Drifter, and The Comeback User

Generational differences are significant, but across all three personas, Snapchat's core value is private, low-pressure connection with close friends, not passive content consumption.



## Younger Gen Z User (13–14)

Name: Lexi, Age 13

### Behavior Tendencies:

- Daily Snapchat use for chats and streaks
- Primary communication over SMS
- Regularly browses Memories as emotional archive
- Strong FOMO drives story checking and posting

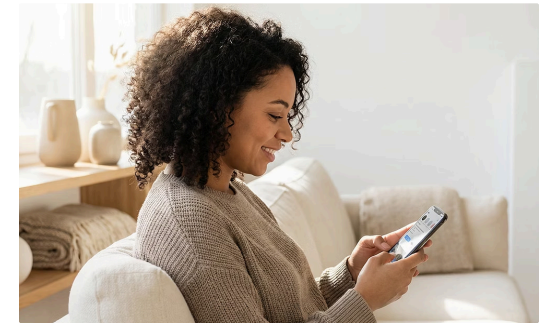


## Older Gen Z User (19–25)

Name: Ashlyn, Age 23

### Behavior Tendencies:

- Started with filters, evolved to streaks and messaging
- Focuses on close friends over public content
- Values privacy and safety vs. Instagram
- Has taken breaks due to anxiety and FOMO



## Younger Millennial User (27–35)

Name: Janet, Age 34

### Behavior Tendencies:

- Instagram primary, Snapchat for close friends
- Prefers low-pressure, disappearing messages
- Values mental lightness vs. Instagram's influencer culture
- Uses as private backchannel, not for creators

*I feel like in college, you probably could use it, but, like, after college, get off, you know? The only reason a grown man is on there is... Pedophile.*

*As my circle changed, the level of toxicity increased and the FOMO... I wanted a break and I uninstalled.*

*On Instagram, I always see fancy, fun posts and start to feel anxious. But when I open Snapchat, I don't have to worry about that. It's much more relaxed.*



# What Our Qualitative Research Revealed Beyond Personas

**The core tension: Snapchat is used like a messaging app, but is sold as an entertainment app.**

People **use** Snapchat like a private messaging hub for streaks, inside jokes, and quick check-ins with friends.

The product and brand story often lean into **Spotlight, Discover, and creators**, which most participants barely use or forget exist.

Younger users feel at home in chats and streaks, while older users feel **out of place in the entertainment layer** and drift away.

## Engagement and churn are driven by different forces:

### Engagement Drivers

- **Streaks** act as a daily ritual and social contract, pulling users back in to avoid “breaking” relationships.
- **Filters and lenses** make self-expression playful and low-stakes, especially for teens who send silly snaps all day.
- **FOMO & curiosity** drive compulsive checking of chats and Stories to see what friends are doing in real time.
- **Memories** function as an emotional time capsule, encouraging users to revisit past snaps and deepening attachment to the app.

### Churn Drivers

- **UI confusion and clutter** make everyday actions feel like work instead of habit.
- Streaks shift from **fun to obligation**, creating stress and eventually pushing some users to **pull back or delete the app**.
- **Disappearing messages** and **read indicators** add pressure to respond immediately, which clashes with **busier adult routines**.
- The sense that Snapchat is a “**teen app**” makes **older Gen Z and Millennials** feel out of place once their own circles drift away.

**Key Takeaway:** Across segments, Snapchat’s real strength is in low-pressure connection and play, while churn risk comes from friction, burnout, and a “for teens” image, with the entertainment layer largely irrelevant to how core users actually use the app.







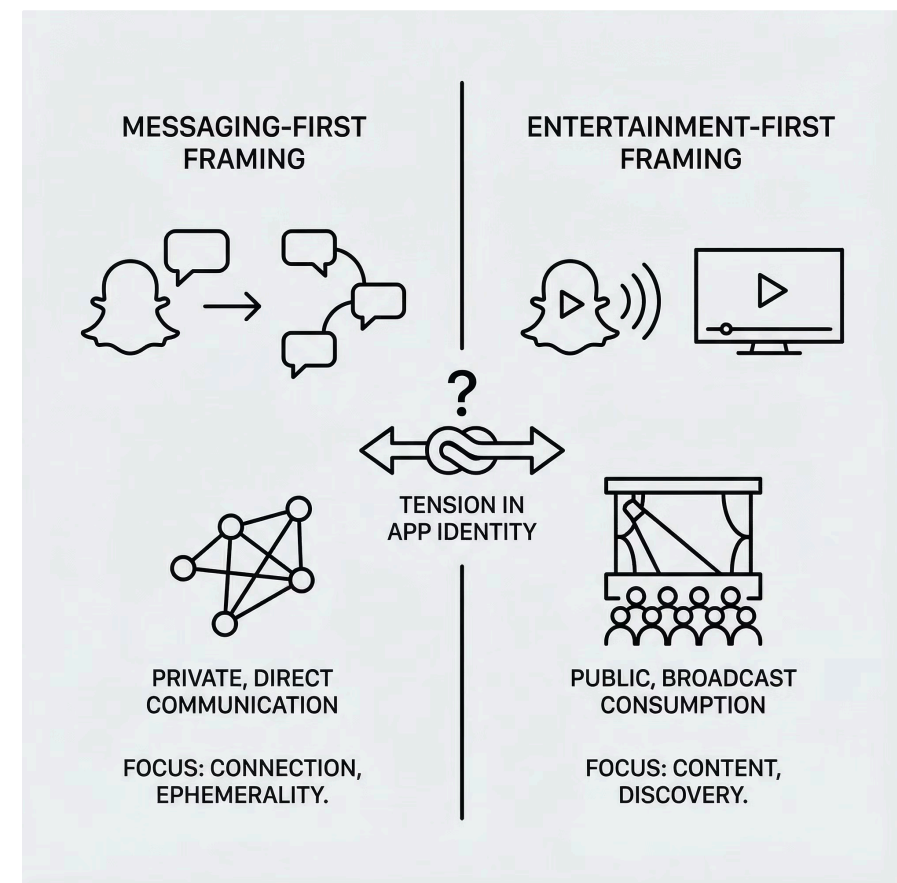
## Turning Tension Into Testing

Our qualitative insights showed a clear tension and raised a key question:

**If Snapchat is used for messaging but framed as entertainment, what happens if we change the framing?**

Qual gave us rich stories but couldn't tell us whether changing the framing would actually move behavior. We needed a structured way to see if **changing Snapchat's brand positioning** would change what people say they'd do.

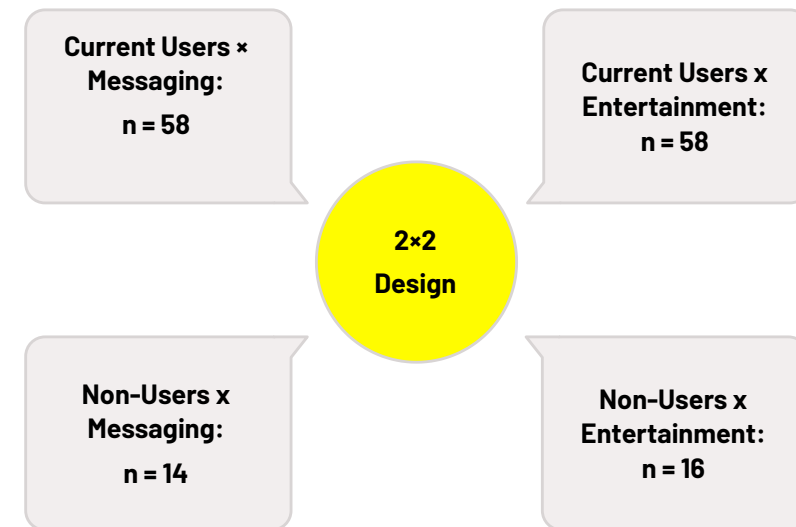
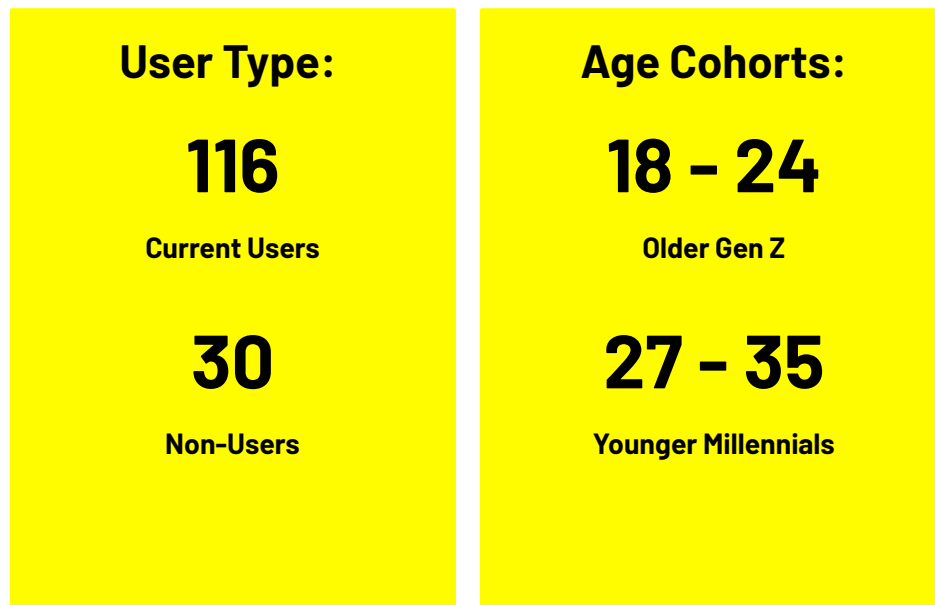
To find out, we designed an experiment to A/B test **messaging-first vs entertainment-first framing**, and measured their impact on **usage intent, retention, and openness to sponsored content**.



# Experimental Design: 2x2 Brand Framing Test

**Objective:** Test how different brand framings of Snapchat, **messaging-first** vs **entertainment-first**, influence intent to use, retention likelihood, and openness to sponsored content.

**Total sample size: 146 respondents**



## What participants saw:

Participants were **randomly assigned** to read a short description of Snapchat framed either as:

- A **messaging and connection** platform, or
- An **entertainment and discovery** platform.

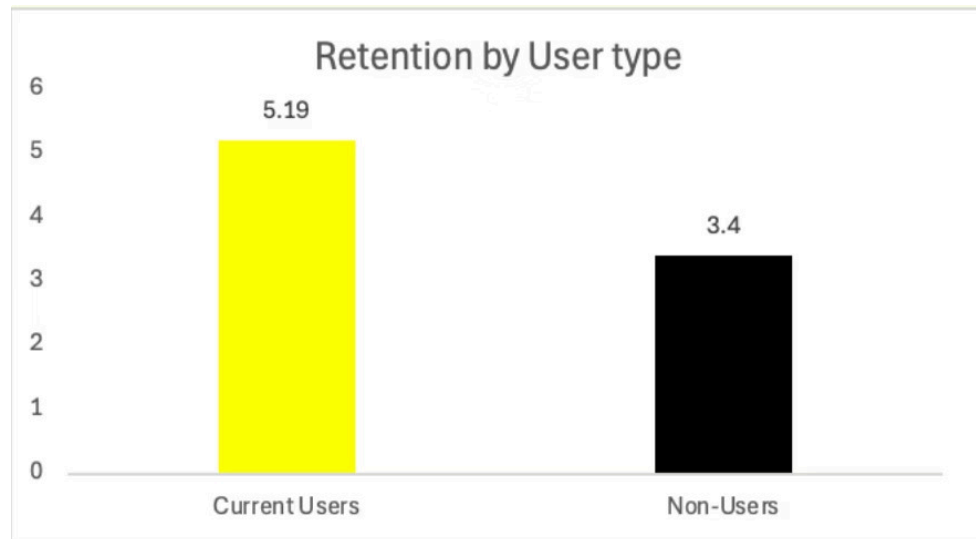
## What we measured:

After reading the description, they answered out-come questions on:

- **Usage intent** (how likely they are to use or try Snapchat)
- **Retention likelihood** (how likely they are to keep using it over time)
- **Openness to sponsored content**
- **Perceived overall value** of Snapchat



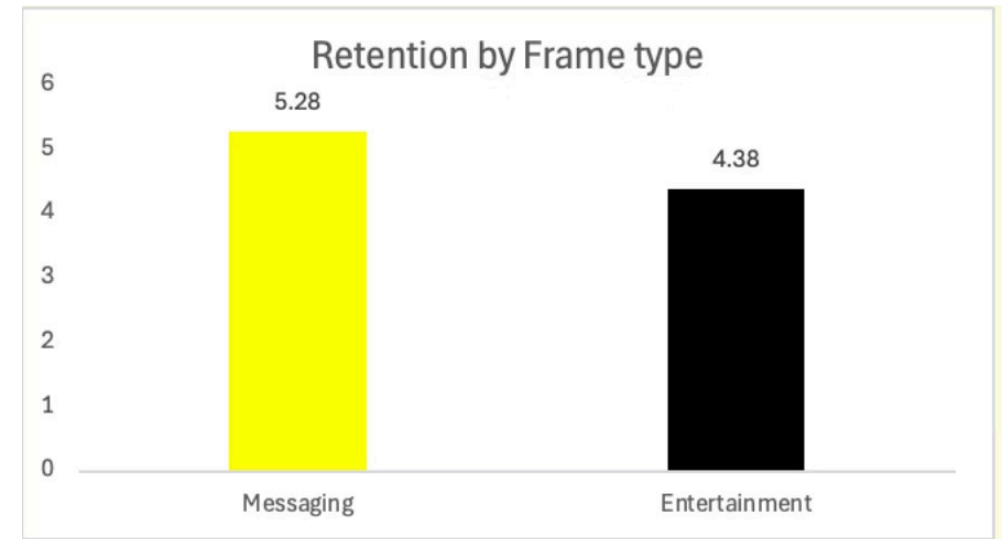
# Retention Starts With Who, Then With How You Frame It



## Current vs Non-Users:

Current Snapchat users report much higher intent to keep using the app over the next 6 months than non-users (about **5.2 vs 3.4** on a 7-point scale).

- Being a current user is 6.5× more powerful than messaging framing.
- Don't chase non-users primarily, protect and grow current users.
- Non-users are fundamentally different, they don't "get" Snapchat yet.



## Framing Effect:

**Messaging-first** framing raises 6-month retention intent compared to an **entertainment-first** description (about **5.3 vs 4.4** on a 7-point scale).

- Messaging positioning wins across ALL users (~21% improvement).
- Messaging framing increases retention significantly.
- This isn't just happening among current users: but non-users as well.

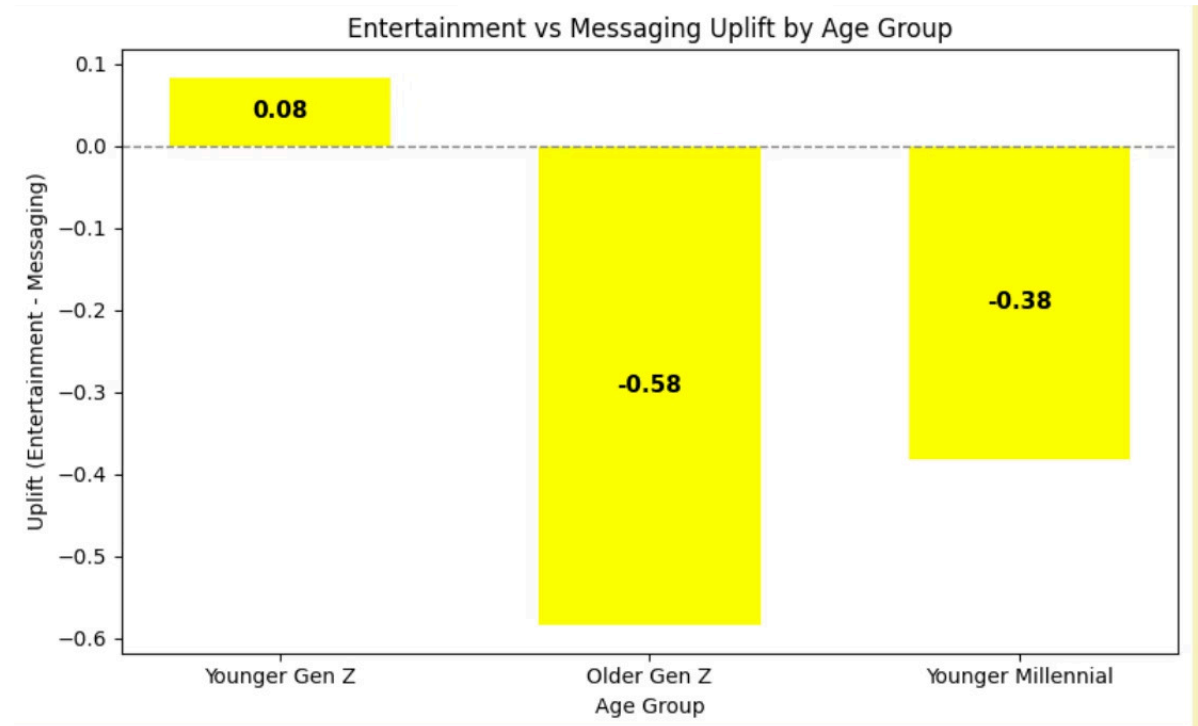
**Key Takeaway:** Protecting and growing the existing base matters far more than chasing cold audiences — current users are the engine, and messaging framing is the booster.





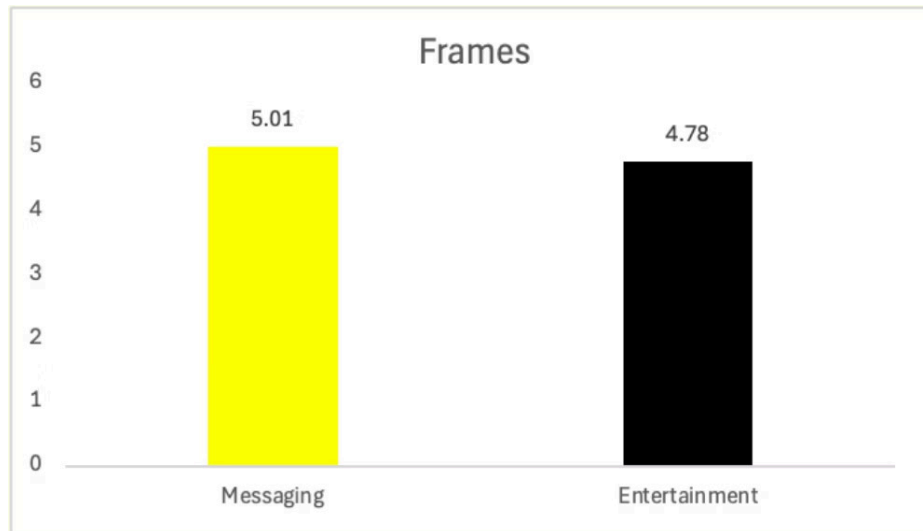
# Older Gen Z: Where Messaging Framing Hits Hardest

- When we compare **uplift from messaging vs entertainment** by age group, one pattern stands out.
- **Older Gen Z (19–24)** shows the strongest positive response to messaging framing (~0.58 uplift), with retention intent jumping meaningfully when Snapchat is positioned as a messaging platform.
- **Younger Millennials (27–35)** also respond better to messaging than entertainment, but the effect is smaller.
- **Younger Gen Z (13–18)** is relatively stable across frames: they already use Snapchat heavily, so framing moves them less.



**Key Takeaway:** Messaging-first positioning is a true retention lever for Older Gen Z, and a helpful support for Millennials.

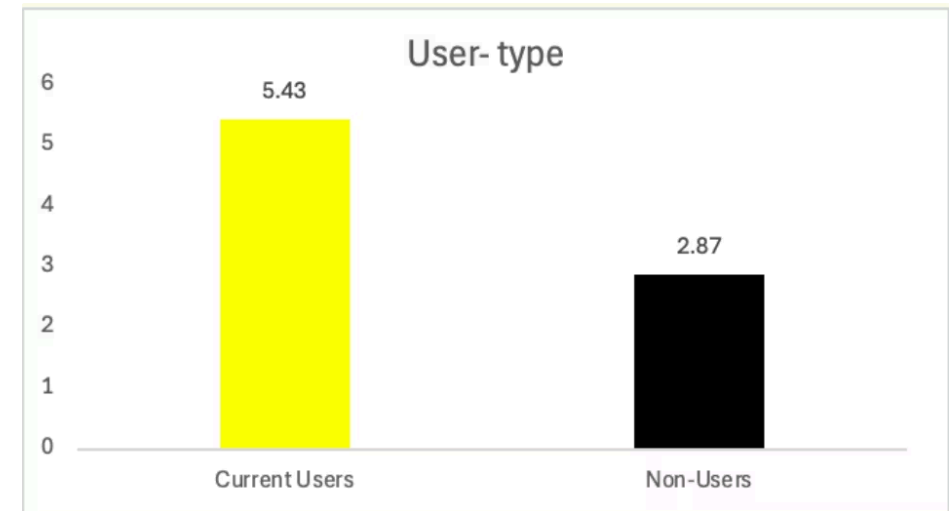
# Ad Receptiveness: Current Users, Not Framing, Drive Ad Value



## Framing Effect on Ads:

Messaging vs entertainment **does not meaningfully change** how interested people say they are in sponsored content; ad willingness stays roughly flat across frames.

- Data shows messaging positioning is authentic: it keeps people around for the right reason (connection).
- Non-users are fundamentally different, they don't "get" Snapchat yet.



## User Type Effect:

The real divide is between **current users and non-users**. Current users rate their willingness to watch or interact with ads at about **5.4/7**, while non-users sit closer to **2.9/7**.

- Protecting current users is more valuable than trying to convert new ad viewers.
- Messaging framing increases retention significantly.
- This isn't just happening among current users: but non-users as well.

**Key Takeaway:** Messaging-first framing is a retention story, not an ad click trick, but protecting current users automatically protects ad revenue.



# Age Multiplies the Effect of Messaging

- We ran a **regression model on current users** to see what predicts usage intent when we look at **frame, age group, tenure, and user type** together.
- The model confirms that **messaging framing adds a measurable bump** to intent, but **age is the stronger driver**: older cohorts show systematically lower intent unless we support them.
- In the model, **being Older Gen Z or Millennial has roughly 2–2.5× the impact on intent compared with the framing itself**, signalling that **who** sees the message is as important as **what** the message is.

| PREDICTOR             | $\beta$        | p-value | Sig |
|-----------------------|----------------|---------|-----|
| Frame (Messaging)     | +0.33          | 0.193   | (*) |
| User Type (Non-User)  | $\approx 0.00$ | 0.902   | ns  |
| Age Group 2 (OldGenZ) | -0.78          | 0.010   | **  |
| Age Group 3 (YngMil)  | -0.85          | 0.011   | **  |
| Tenure (Q2)           | +0.11          | 0.408   | ns  |

| Statistic                   | What It Means                   | Business Impact                                              |
|-----------------------------|---------------------------------|--------------------------------------------------------------|
| $\beta = +0.33$             | Effect size of Messaging        | Messaging adds 0.33 points (4.6% lift on 7-point scale)      |
| $p = 0.193$                 | Probability effect is real      | 81% confident this effect is real (19% chance it's random)   |
| $R^2 = 0.049$               | Model explanatory power         | Our factors explain 5% of intent; 95% driven by other things |
| $\beta = -0.78(\text{Age})$ | Younger users score 0.78 higher | Age is 2.4× more impactful than messaging                    |

**Key Takeaway:** Messaging repositioning works best when aimed at the right cohorts, especially Older Gen Z, rather than as a one-size-fits-all campaign.



## Limitations: How to Read These Results

**Sample:** Convenience sample of U.S. Gen Z and Millennials recruited via MTurk; non-user cells were small ( $n \approx 14-16$ ), so acquisition findings are directional, not statistically reliable.

**Method:** Participants reacted to short text descriptions in a survey, not a real in-app experience, so framing effects reflect responses to messaging rather than full product behavior.

**Measures:** All outcomes are self-reported intentions and attitudes, not observed behavior, so actual retention and ad impact may be smaller in practice.

**Scope:** One short-field study with limited time for broader recruitment; results should guide future in-product A/B tests and UX experiments, not serve as a final verdict.

*Despite these limits, the messaging-frame effects for current users are statistically solid and directionally consistent, making them a reliable signal for product and A/B test design.*







## So What? Messaging-First Is Snapchat's Retention Engine

Snapchat's biggest retention opportunity is not new features or entertainment, it's doubling down on what users already love: messaging.

Messaging-first framing resonates more strongly with existing users and aligns with the behaviors that matter most for retention.

*Implication: Snapchat should adopt a messaging-first brand story and prioritize messaging surfaces in the product, then design ad experiences that plug into those everyday conversations rather than entertainment content.*

### Key Signals From the Research:

Messaging-first framing lifts retention among current users

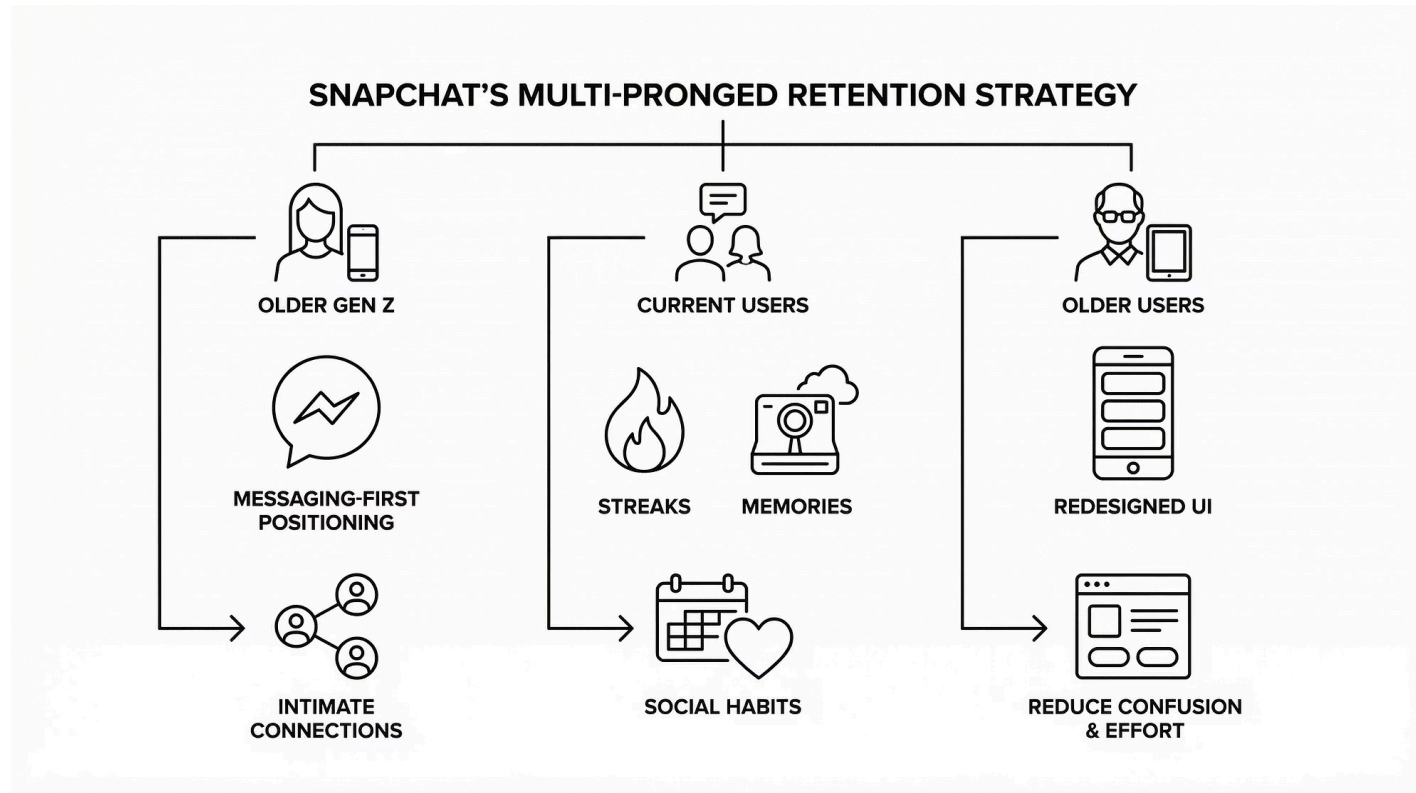
Entertainment framing does not shift behavior

Messaging mirrors how people actually use Snap

Higher retention → more stable ad marketplace



# Turning Insights into Action



01

## Short term: Lead with messaging-first positioning

- Reposition Snapchat as the most intimate **messaging app for close friends**.
- Target Older Gen Z as the pilot audience in brand and lifecycle campaigns.
- **Why now:** Messaging framing drove ~21% higher retention intent among current users.

02

## Mid term: Protect and grow current users

- Strengthen high-value social assets like **Streaks and Memories** to reduce early churn.
- Use light-touch nudges and recovery flows to keep existing streak-heavy users active.
- **Why here:** Current users' ad receptiveness is ~6.5× higher than non-users.

03

## Long term: Fix the drop-off problem

- Redesign key parts of the **UI for users 20+** to reduce confusion and effort.
- Make the core navigation more intuitive so messaging remains effortless as users age.
- **Why this segment:** Older Gen Z showed the strongest positive response to messaging framing.



# The ROI of Leaning Into Messaging

- **Higher daily return behavior**

More users come back out of habit to talk to friends, increasing session starts and streak-preserving check-ins.

- **More stable auction and delivery outcomes**

A stickier core audience creates steadier impression supply, which supports more consistent bidding, pacing, and performance for ads.

- **Lower churn among older Gen Z**

Reframing Snap around close-friend communication makes the app feel age-relevant again for 21–25, reducing the “I’ve outgrown it” drop-off.

- **Improved advertiser predictability**

When usage patterns are more regular, advertisers can trust reach and frequency forecasts, plan budgets with less risk, and optimize toward outcomes instead of volatility.

- **Increased long-term LTV of active users**

Retained messaging users keep generating impressions and conversions over time, compounding revenue per user without requiring continuous reacquisition.

- **Stronger platform for experimentation**

A clear messaging-first baseline makes it easier to A/B test new ad formats and features on top of stable behavior, so Snap can innovate without destabilizing core use.



**Final Thought:**

**Messaging is Snapchat's  
most powerful retention  
asset.**

**Doubling down on it strengthens user engagement, advertiser outcomes,  
and long-term platform value.**



# Appendix

## Survey Items + Answer Choices

Complete list of survey questions and response options used in the experiment.

Do you currently use Snapchat?

- ☐ Yes, I use it regularly
- ☐ Yes, but I rarely use it
- ☐ I used to use it but stopped
- ☐ I have never used Snapchat

How often do you use Snapchat?

- ☐ Multiple times per day
- ☐ Once a day
- ☐ A couple of times per week
- ☐ A few times per month
- ☐ Rarely/Almost never

How long have you been using Snapchat?

- ☐ Less than 6 months
- ☐ 6 months - 1 year
- ☐ 1 - 2 years
- ☐ 3 - 5 years
- ☐ 5+ years

When you do use Snapchat, about how long do you usually spend on it in one session?

- ☐ Less than 5 minutes
- ☐ 5 - 10 minutes
- ☐ 10 - 30 minutes
- ☐ 30 - 60 minutes
- ☐ More than 60 minutes





How confident are you that you know how to use Snapchat?

☐ Not confident at all

☐ Not very confident

☐ Slightly confident

☐ Neutral

☐ Moderately confident

☐ Very confident

☐ Extremely confident

What is the main reason why you use Snapchat?

☐ Private messaging

☐ Maintaining streaks

☐ Group chats

☐ Watching friends' Stories

☐ Sharing photos/videos to My Story

☐ Watching creators/influencers' content

☐ Discovering new content on the Discover page

☐ Watching Spotlight videos

☐ Using AR filters/lenses

☐ Following news/brands

☐ Other:

When you see ads on Snapchat, how does it affect your experience?

☐ Makes it worse / annoying

☐ Makes it somewhat worse

☐ Slightly worse

☐ Neutral / no effect

☐ Slightly better

☐ Makes it somewhat better

☐ Makes it better / useful

In the past month, how many times have you interacted with an ad on Snapchat (watched fully, swiped up, or tried a branded lens)?

☐ Never

☐ 1 - 2 times

☐ 3 - 5 times

☐ 6 - 10 times

☐ More than 10 times



Based on what you just read, what is Snapchat primarily described as?

- ☐ A messaging platform
- ☐ An entertainment platform
- ☐ A shopping platform
- ☐ A news platform

How strongly do you feel Snapchat SHOULD be this way?

- ☐ Not at all (Snapchat should definitely not be this way)
- ☐ Slightly
- ☐ Somewhat
- ☐ Neutral
- ☐ Moderately
- ☐ Strongly
- ☐ Very strongly (Snapchat should definitely be this way)

Based on the description you just read, how likely would you be to use Snapchat MORE in the next 30 days?

- ☐ Extremely unlikely
- ☐ Moderately unlikely
- ☐ Slightly unlikely
- ☐ Neither likely nor unlikely
- ☐ Slightly likely
- ☐ Moderately likely
- ☐ Extremely likely

Based on what you just read, how much more likely would you be to watch sponsored content on Snapchat compared to now?

- ☐ Extremely unlikely
- ☐ Moderately unlikely
- ☐ Slightly unlikely
- ☐ Neither likely nor unlikely
- ☐ Slightly likely
- ☐ Moderately likely
- ☐ Extremely likely



How likely are you to continue using Snapchat regularly over the next 6 months?

☐ Extremely unlikely

☐ Moderately unlikely

☐ Slightly unlikely

☐ Somewhat likely

☐ Extremely likely

☐ Moderately likely

How much do you agree or disagree with the following statement: **If Snapchat were to disappear tomorrow, I would miss it.**

☐ Strongly disagree

☐ Disagree

☐ Somewhat disagree

☐ Neither agree nor disagree

☐ Somewhat agree

☐ Agree

☐ Strongly agree

In the past 6 months, have you considered switching your primary entertainment app from Snapchat to another platform?

☐ Yes, seriously considered it

☐ Yes, briefly thought about it

☐ No, haven't considered it

☐ Not applicable – Snapchat isn't my primary entertainment app



# Experimental Descriptions

Full text of messaging-first and entertainment-first framing conditions presented to participants.

## As Messaging Platform

Please read the following description carefully.

### Snapshot: Stay Connected

Imagine Snapchat mainly as a way to message close friends. Quick snaps, group chats, and streaks. Simple and private.

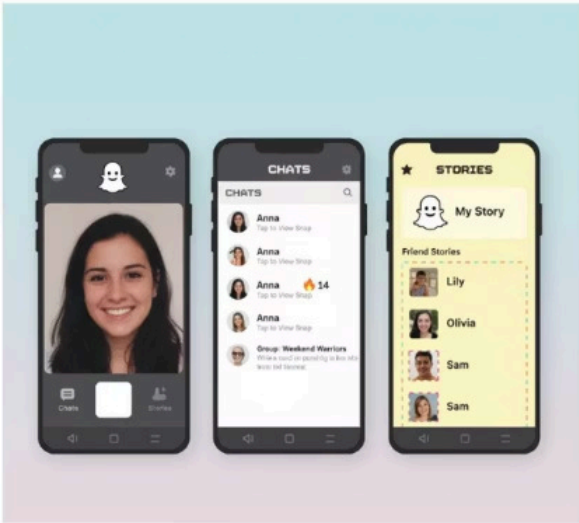
 **Private Messaging** - Send photos, videos, and messages that disappear after viewing

 **Streaks** - Maintain daily snap exchanges with friends to keep your connections strong

 **Group Chats** - Stay connected with friend groups through ongoing conversations

 **Friend Stories** - Share moments with your close circle and see what they're up to

Through Chats, Snaps, and Snap Streaks, you can share everyday moments quickly, privately, and authentically. Snapchat helps you maintain real friendships and strengthen a sense of belonging, offering a light-hearted way to keep relationships alive even when far apart.



## As Entertainment Platform

Please read the following description carefully.

### Snapshot: Discover & Be Entertained

Imagine Snapchat as an entertainment platform designed to help you discover exciting content and stay entertained. With features like:

 **Spotlight** - Watch viral short-form videos from creators around the world

 **Discover** - Explore content from top publishers, shows, and creators

 **AR Lenses & Filters** - Try fun augmented reality effects and creative tools

 **Creator Stories** - Follow influencers, celebrities, and brands for fresh content daily

Through features like Spotlight, Discover, and AR Lenses, you can watch trending videos, follow emerging creators, and experiment with interactive filters that bring photos and videos to life. Snapchat is where you relax, express creativity, and stay inspired—a fun, fast-moving space that blends entertainment, self-expression, and discovery.

